

- William has published numerous books on investing, but in *The Intelligent Asset Allocator*, he argues for a portfolio consisting of the following: 25 percent domestic equity, 25 percent foreign equity, 25 percent small caps, and 25 percent bonds.⁶

These represent the best thinking from respected allocation experts. What other allocations approaches might we consider?

Back in the 1960s and 1970s, a lot of research was conducted to try to assess how pension funds allocated, and it was observed that allocations seemed to coalesce around a simple strategy: 60 percent to domestic equity and 40 percent to bonds. Readers have probably heard of this approach, the “60/40 rule,” which is widely perceived as a reasonable asset mix for the long-term investor.

As quant geeks, we naturally want to see what would have happened if we had followed these models over the past 25 years. We conducted an analysis of these different options using the following indices to build Swensen and Bernstein's expert portfolios:

- SP500 = SP500 Total Return Index (domestic equity)
- R2K = Russell 2000 Total Return Index (small cap equity)
- EAFE = MSCI EAFE Total Return Index (developed market equity)
- EEM = MSCI Emerging Markets Total Return Index (emerging market equity)
- REIT = FTSE NAREIT All Equity REITS Total Return Index (real estate)
- GSCI = Goldman Sachs Commodity Index (commodities)
- LTR = Merrill Lynch 7–10 Year Government Bond Index (bonds)
- TIPS = 10-Year Treasury Inflation Protected Securities Index (TIPS)

We conduct our “horserace” from January 1, 1979, through December 31, 2014, as shown in [Table 6.4](#) below. For simplicity, we rebalance on a monthly basis to ensure the portfolios maintain their suggested weights.⁷